It will be noted (from Table II) that none of the groups selling at cheap prices in relation to *average* earnings did worse than the 648 company total in the poor year 1938. Furthermore, their price was also low in comparison with asset values. There is thus a sharp contrast between this set of companies and those, already mentioned, which were selling at more than four times tangible asset value. The latter include radios (3 companies), drug manufacturing (13) confections (6) and soft drinks (3). Note that the "cheaper" stocks offer 8 times as much in asset value, per dollar of price, 2.3 times as much in 1934–1938 earnings and even 1.73 times as much in 1938 earnings, as do the low-asset stocks. Statistically, the sole advantage of the latter group is found in the 11% *increase* of 1938 earnings over the five-year average, as compared with a 17% *decrease* for the other set. But it should be pointed out that the improvement shown by the "dear" stocks was largely accounted for by one company (Coca-Cola) and also that the 1938 earnings of the "cheaper" group were relatively much better maintained than those of the Stock Exchange list as a whole.

The contrast offered by these two groupings is accentuated by certain broad similarities existing between the categories in one and in the other. Radios and broadcasting invite comparison with motion pictures, drug manufacturing with drug stores, confections with sugar, and soft drinks with both milk and liquor. The outstanding contrast of all is presented by Coca-Cola on the one hand (dominating the soft-drink field) and all the other listed beverage companies, selling milk, soft drinks, beer and whisky. These 14 common stocks, taken together, were worth only two-thirds as much as Coca-Cola alone—but their 1938 sales were 970 millions against 76 millions, their 1938 net for common 52.8 millions against 23.8 millions, and their tangible assets for common stock 390 millions against only 16 millions.

Earnings on Invested Capital

Study of price-earnings ratios may be supplemented by examination of the percentage earned on invested capital, *i.e.*, tangible assets available either for the common stock or for all capital securities. For this purpose we have taken average results for 1934–1938, as perhaps the most representative index, and compared them with the invested capital at the end of 1938, including therein the funded debt. The results are summarized in Table II for the various industrial groups and in Table III*A* and *B* for various divisions by size of company.

Certain aspects of these exhibits deserve comment. Since large earnings on invested capital may be accepted as one of the best proofs of a prosperous business, it is natural to scrutinize that ratio for a clue to the relative profitableness